Professional Practices - week7

Key features of software house

- SOFTWARE HOUSE HIERARCHY.
- KEY FEATURES OF A SOFTWARE.

Key features of a software house

Here are the essential features of modern software houses today:-

- Focus on quality
- Agile Methodology
- Full stack capabilities
- Communication and collaboration
- Flexibility
- Organogram / hierarchical structure
- Centralized vs Decentralized Operations.

Key features of a software house (continue)

- Appraisals
- Monitoring Financial performance
- Software cost
- Software revenue
- Project costing
- Project sale
- Sales report

Focus on quality

- A software house that delivers high-quality code will gain the client’s trust and recommendation.
- As a result, it will be able to attract more customers.
- Since there are many software houses operating globally right now, they do everything they can to provide their clients with high-quality code.
- High-quality code includes :-
  - Fast running projects
  - Modify able

Agile Methodology

- The agile approach to software development is an industry standard across the entire globe.
- As compare to Agile, Waterfall and other methodologies are outdated
- With Agile approach the developers are closer to clients, hence getting good results.

Full-stack capabilities

- If you hire a software house to build your application, you can expect to get a complete product by the end of your contract.

- This means that the software house will be responsible for each and every step of the development process.

Communication and collaboration

- Smooth and regular communication is essential to the success of any project.
- That is why It's very important for the management and developers of a software house to have good communication skills.
- An experienced software house will often assign a project manager who will act as a bridge between the client and the team. That way, it's possible to build mutual trust and increase engagement.

Flexibility

- Software development process requires innovative and up-to-date technology, hence the managers and teams of a software house must be knowledgeable with latest technology.

- Updated version of software or tool should be encouraged.

Hierarchical Structure

Chairman (CEO/MD)

Operations Director

Technical Director

Sales/Marketing Manager

Finance Manager

Proj-Mngr-1

Proj-Mngr-2

Sales/Marketing Personnel

Finance Personnel

Soft-Engineer
Soft-Developer/ .....
Computer Programmers .....

.....

CEO: Chief Executive Officer; MD: Managing Director

Centralized vs Decentralized Operations

- **Centralized Operations**
  Any operations performed for the whole organization.
  e.g. The Chairman decides and circulates office timings for the whole company.
- **De-centralized Operations**
  Each department takes its own decisions
  e.g. attendance system in each department due to full-time and part-time employees.

Appraisals

- Employees' achievements and contributions to the company are properly recorded.
- Staff know what is expected of them and what they need to achieve in order to gain promotions and honorariums.
- Proper plans for training and career development are made and regularly reviewed.

Monitoring Financial Performance

- At the end of each month software house's financial status is audited.
- If revenues (earnings) are more than expenditures, it is a satisfactory condition but if expenditures are more, corrective actions are taken.
- To monitor financial performance, company focuses on
  - Cost: how much spent on project development including manpower, machines etc.
  - Revenue: Total income at the end of each month
  - Overheads: Other expenses than costs e.g. office maintenance, salaries of non-technical staff etc.

Software Cost

- It is the amount of creating and delivering a software or service to your customer.
- These costs include hosting fees, server and cloud space, website development and maintenance costs, software license agreements, and the developer team's salaries.

Software Revenue

- Amount of money collected and earned for the software which was developed and delivered to customers.
- Generally this amount is mentioned in an agreement between the software house and the customer before developing the software.

Project Costing

- The costs and revenue of each project are calculated each month and the cumulative gross margin is calculated as the total revenue.
- Profit on a project is calculated as:
  Profit = Revenue – Cost
- E.g. Revenue = 5,00,000; Cost = 2,00,000, then Profit = 5,00,000 – 2,00,000 = 3,00,000.

Software Sale

- It is a transaction between the buyer and the software house in which the software house sells a software against money.
- Sale is in the form of a contract (agreement) between the buyer and the software house in the financial market, where the buyer and software house agree upon a definite price of a software.

Sales Report

- It is a document that outlines sales activities within a software house.
- Sales reports may also help software houses discover new market opportunities and improve their marketing.

Long Term Planning

- It is the strategic planning for future.
- The successful software houses have the ability to plan for future marketing for better business revenues.
- Long term planning
  - identify long-term goals
  - determine future problems, hurdles and resistances which may come across during the software development process.

END